IN THE COURT OF THE DISTRICT JUDGE (COMMERCIAL DIVISION)
GURUGRAM, HARYANA

COMMERCIAL SUIT NO. _____ / 2024

Mehta Tech Pvt. Ltd. Unit 401, Pinnacle Business Park, Andheri East, Mumbai – 400 093 CIN: U72900MH2016PTC278341 . . . . . **Plaintiff**

— VERSUS —

Kapoor Enterprises Plot No. 22-A, Sector 18, Industrial Area, Gurugram, Haryana – 122 001 . . . . . **Defendant**

PLAINT UNDER ORDER VII, RULE 1 OF THE CODE OF CIVIL PROCEDURE, 1908 READ WITH THE COMMERCIAL COURTS ACT, 2015

I. PARTICULARS OF PARTIES

1. The Plaintiff, **Mehta Tech Pvt. Ltd.**, is a company incorporated under the Companies Act, 2013, engaged in the business of software development, IT consulting, and enterprise resource planning solutions. The Plaintiff has its registered and principal office at Unit 401, Pinnacle Business Park, Andheri East, Mumbai – 400 093. The Plaintiff's CIN is U72900MH2016PTC278341. The Plaintiff is competent to sue and be sued in its own name and has been authorised to institute the present proceedings by its Board of Directors vide Resolution dated 10th January, 2024.

2. The Defendant, **Kapoor Enterprises**, is a partnership firm / private limited company registered under applicable laws, engaged in the manufacture and trading of industrial components, having its principal place of business at Plot No. 22-A, Sector 18, Industrial Area, Gurugram, Haryana – 122 001. The Defendant is amenable to the jurisdiction of this Hon'ble Court. The Defendant's authorised signatory for the Agreement was Mr. Aditya Kapoor, Director.

II. JURISDICTION AND VALUATION

3. This Hon'ble Court has jurisdiction to try and entertain the present suit inasmuch as: **(a)** the Defendant carries on business and has its principal place of business within the territorial jurisdiction of this Court; **(b)** the cause of action arose, wholly or in part, within the territorial limits of this Court, including non-payment of dues and communications exchanged at Gurugram; **(c)** the value of the subject matter exceeds Rs. 3,00,000/-, thereby vesting jurisdiction in the Commercial Division under the Commercial Courts Act, 2015; and **(d)** the Agreement was partly to be performed at Gurugram (the Defendant's place of business and the site of ERP deployment).

4. The Plaintiff values the present suit at **Rs. 74,00,000/- (Rupees Seventy-Four Lakhs Only)**, comprising: principal claim of Rs. 55,00,000/-; interest of Rs. 12,00,000/- calculated at 18% per annum from the date of default; damages of Rs. 5,00,000/-; and costs of Rs. 2,00,000/-. The requisite Court fee has been paid on the aforesaid valuation as per the provisions of the Court Fees Act, 1870 (as applicable to Commercial Courts in Haryana).

III. FACTS OF THE CASE

5. On **09th January, 2023**, the Plaintiff and the Defendant entered into a written agreement styled as the '**Software Implementation and Enterprise Resource Planning Services Agreement**' bearing Reference No. MT/KE/ERP/2022/007 (hereinafter '**the Agreement**'). The Agreement was executed at Mumbai and contemplated the full-suite ERP design, development, customisation, and implementation for the Defendant's manufacturing and trading operations at Gurugram.

6. Prior to the execution of the formal Agreement, the Plaintiff and Defendant had exchanged extensive pre-contractual correspondence, including a **Memorandum of Understanding (MoU) dated November 2022**, multiple draft Statements of Work, and a **Letter of Intent dated 29th December, 2022**. These documents established the commercial and technical framework for the engagement. However, no prior binding and enforceable agreement existed between the parties before the formal Agreement of January 2023.

7. The total contractual consideration agreed under the Agreement was **Rs. 55,00,000/- (Rupees Fifty-Five Lakhs Only)**, exclusive of GST at 18%, payable in five (5) tranches linked to project milestones as set out in Schedule II of the Agreement. The Defendant paid Tranches 1 and 2 aggregating Rs. 23,00,000/- but has entirely failed to make payment against Tranches 3, 4, and 5, or against the Change Requests completed thereafter. The following amounts remain outstanding:

Tranche	Milestone	Amount (Rs.)	Status / Remarks
Tranche 3	Development & UAT Sign-Off	15,00,000/-	Unpaid – No justification
Tranche 4	Go-Live Certification	15,00,000/-	Unpaid – Falsely disputed
Tranche 5	AMC – Year 1	12,00,000/-	Unpaid – No response
Change Requests	CRs No. 04 to 09 (Scope Additions)	13,00,000/-	Unpaid – No response
TOTAL		55,00,000/-	

8. The Plaintiff duly performed all obligations under the Agreement. The ERP Solution was fully developed and deployed. A formal User Acceptance Testing (UAT) report was signed by the Defendant's Project Coordinator, Mr. Harpreet Singh Bedi, on **12th December, 2022**. The System went live on **20th February, 2023**, and a Go-Live Certificate was executed by the Defendant's General Manager (IT) on the same date. The Plaintiff also successfully trained over one hundred and fifty (150) end-users across all departments of the Defendant's organisation.

9. The Plaintiff further carried out **six (6) additional Change Request work orders** (CRs 04 through 09) at the specific written request of the Defendant between April 2023 and August 2023, involving additional customisation of the ERP Solution. Each Change Request was signed off by the Defendant's authorised personnel. The aggregate consideration for Change Requests amounts to **Rs. 13,00,000/-**. Despite completion and formal acceptance of each work order, no payment has been released.

10. Clause 4.2 of the Agreement provided that payment shall be released 'within a reasonable time after satisfactory completion of each milestone, subject to internal approval by the Defendant's Finance Department.' This provision is being unconscionably misused by the Defendant as a perpetual pretext to withhold payments indefinitely, constituting an abuse of contractual discretion and a breach of the implied duty of good faith.

11. Vide email dated **03rd November, 2023**, the Defendant's Director Mr. Aditya Kapoor communicated that the Defendant 'does not acknowledge the existence of any binding agreement' with the Plaintiff. This assertion is not only factually false but is legally untenable and contradicted by the Defendant's own conduct extending over twelve (12) months.

IV. HISTORY OF DEFAULT AND PRE-LITIGATION COMMUNICATIONS

12. Despite repeated communications, Kapoor Enterprises has systematically failed to respond meaningfully or to make any payment. The Plaintiff sent formal demand emails on **05th April, 2023, 18th May, 2023, 14th July, 2023,** and **02nd October, 2023**, and a formal demand letter on **22nd November, 2023**. A Legal Notice was thereafter issued by the Plaintiff's Advocates on **12th February, 2024**. The Defendant has failed and refused to respond to the Legal Notice.

13. The Defendant's silence in the face of a formally served Legal Notice amounts to an implied admission of the claims made therein, as consistently held by courts in India. Reference is invited to the principle that where a party receives a notice containing specific allegations and claims, the failure to deny or respond to such allegations within a reasonable period raises a strong presumption against the notified party.

V. MATERIAL CLAUSES AND THEIR LEGAL IMPORT

14. **Indemnification (Clause 11):** Clause 11 imposes an unlimited and one-sided obligation on the Plaintiff to indemnify the Defendant against all claims, damages, losses, and expenses, irrespective of the Defendant's negligence or fault. This clause is unconscionable, inequitable, and contrary to the fundamental principles of justice. The Plaintiff submits that this clause is void ab initio under Section 23 of the Indian Contract Act, 1872 as being opposed to public policy, or alternatively voidable on grounds of economic duress. The Plaintiff hereby rescinds and repudiates all obligations purportedly arising thereunder.

15. **Termination Without Cause (Clause 13):** Clause 13 purports to grant the Defendant an absolute unilateral right to terminate the Agreement without cause and without compensation. This clause is in the nature of an absolute forfeiture clause operating exclusively against the Plaintiff, contrary to Section 23 of the Indian Contract Act, 1872, and is unenforceable. In any event, the Defendant has not invoked this clause.

16. **Arbitration (Clause 15):** Clause 15 contains a broad arbitration clause. The Plaintiff has filed the present suit on the ground that the Defendant has denied the very existence of the Agreement. A party that repudiates the Agreement cannot selectively invoke an arbitration clause contained therein, as held in **Garware Wall Ropes Ltd. v. Coastal Marine (2019) 9 SCC 209**. Additionally, the clause is rendered inoperative by the Defendant's repudiation.

VI. CAUSE OF ACTION

17. The cause of action first arose on **01st March, 2023**, when the Defendant failed to make payment of Tranche 4 (Go-Live milestone) as contractually obligated. The cause of action is continuing and recurs on each date that the Defendant has failed to pay the outstanding dues. The present suit is filed within the period of limitation prescribed under the Limitation Act, 1963 (Article 55 — three years from date of breach).

VI-A. ADDITIONAL FACTS RELEVANT TO QUANTUM OF DAMAGES

18. The Plaintiff submits that in executing the Agreement, it committed substantial financial and human resources over an extended period. A dedicated project team comprising twelve (12) software engineers, two (2) senior project managers, four (4) functional business analysts, and two (2) infrastructure specialists was deployed exclusively on this engagement. The Plaintiff's internal cost-accounting records indicate that the total employee costs attributable to this project exceed **Rs. 28,00,000/-**.

19. In addition to employee costs, the Plaintiff incurred the following direct costs in executing the Agreement:

Category of Cost	Amount (Rs.)
Third-party ERP base software licences	4,50,000/-
Travel, accommodation, and daily allowances (on-site at Gurugram)	2,80,000/-
Cloud infrastructure and hosting charges (April 2022 – March 2023)	1,90,000/-
Hardware and peripheral procurement for project deployment	1,20,000/-
Legal, administrative, and recovery costs (post-default)	1,85,000/-
TOTAL DIRECT COSTS (EXCLUSIVE OF EMPLOYEE COSTS)	12,25,000/-

20. The Plaintiff further submits that by reason of the Defendant's persistent non-payment and the protracted dispute, the Plaintiff was constrained to defer and ultimately lose two (2) significant ERP implementation mandates from other prospective clients — one in the pharmaceuticals sector valued at approximately Rs. 45,00,000/- and another in the logistics sector valued at approximately Rs. 38,00,000/-. This represents substantial opportunity loss occasioned directly by the Defendant's breach.

21. The Plaintiff's claim for damages of Rs. 5,00,000/- in the present suit represents a highly conservative estimate of the reputational, opportunity, and consequential losses actually suffered. The Plaintiff reserves its right to seek higher damages upon production of complete financial evidence at trial.

VI-B. ANALYSIS OF KEY CONTRACTUAL PROVISIONS

22. **Clause 4.1 — Milestone-Based Payment:** Clause 4.1 of the Agreement expressly provided that the Defendant's payment obligations were triggered upon 'completion and written acceptance of each project milestone as defined in Schedule II.' Since each milestone was formally accepted in writing by the Defendant's authorised representatives, the payment obligation under each tranche became absolute, unconditional, and immediately due.

23. **Clause 4.2 — Finance Approval Pretext:** The Defendant has sought to rely on Clause 4.2's reference to 'internal approval by the Finance Department' as a basis for indefinitely withholding payment. This interpretation is commercially absurd and legally untenable. No reasonable commercial party can be permitted to use an internal administrative process as a perpetual pretext to deny legitimate contractual dues. Courts have consistently held that a party cannot rely upon its own internal processes to escape contractual obligations. Reference is invited to **ONGC v. Saw Pipes Ltd. (2003) 5 SCC 705**, wherein the Supreme Court held that a party cannot benefit from its own breach or inaction.

24. **Clause 7.3 — Defect Liability Period:** Clause 7.3 stipulated a defect liability period of ninety (90) days commencing from the Go-Live date. The Go-Live Certificate was executed on 20th February, 2023, meaning the defect liability period expired on 22nd May, 2023. The Defendant's first written complaint regarding alleged deficiencies was raised vide letter dated September 2023 — nearly four (4) months after expiry of the defect liability period. These complaints are, accordingly, time-barred.

25. **Clause 9.1 — Interest on Late Payments:** Clause 9.1 entitles the Plaintiff to interest on all overdue payments at 'prevailing bank rate plus 2% per annum.' Notwithstanding the ambiguity in specifying the reference bank, the Plaintiff is entitled to interest at 18% per annum — the rate consistently awarded by commercial courts — on all outstanding amounts from their respective due dates. The Plaintiff accordingly claims interest as part of the present suit.

26. **Clause 17 — Governing Law and Entire Agreement:** The Agreement provides that it constitutes the entire agreement between the parties and supersedes all prior representations, understandings, and negotiations. This clause reinforces that the Defendant cannot rely upon alleged pre-contractual representations or understandings to vary or diminish its payment obligations under the Agreement.

VI-C. LEGAL PROVISIONS RELIED UPON

Provision	Statute	Subject Matter
Section 37	Indian Contract Act, 1872	Obligation of parties to perform their respective promises
Section 39	Indian Contract Act, 1872	Effect of refusal of party to perform promise wholly
Section 73	Indian Contract Act, 1872	Compensation for loss or damage caused by breach of contract
Section 23	Indian Contract Act, 1872	What considerations and objects are unlawful
Section 18	Indian Contract Act, 1872	Misrepresentation defined
Order XXXIX	Code of Civil Procedure, 1908	Temporary injunctions and interlocutory orders
Article 55	Limitation Act, 1963	Three-year limitation for suits on contracts
Section 3	Interest Act, 1978	Power of court to allow interest
Section 12	Commercial Courts Act, 2015	Pre-institution mediation (attempted by Plaintiff)

VII. CLAIMS AND AMOUNTS

Sr.	Head of Claim	Amount (Rs.)
1	Principal contractual dues (milestones per Agreement)	55,00,000/-
2	Interest @ 18% p.a. on unpaid tranches (Mar 2023 – Feb 2024)	9,90,000/-
3	Loss of business opportunity and reputational damages	5,00,000/-
4	Cost of litigation, legal fees, and incidental expenses	2,00,000/-
5	Pendente lite and future interest (as per Court order)	As awarded
	Grand Total (as of date of filing)	71,90,000/-

VIII. PRAYER

In the premises stated above, the Plaintiff most respectfully prays that this Hon'ble Court may be pleased to:

(a) Pass a decree for recovery of **Rs. 55,00,000/-** being the principal contractual dues;

(b) Award interest at **18% per annum** from 01st March, 2023 until the date of filing amounting to Rs. 9,90,000/-, and pendente lite and future interest at 18% p.a. from filing until realisation;

(c) Pass a decree for damages of **Rs. 5,00,000/-** for business losses, reputational harm, and opportunity costs;

(d) Direct the Defendant to pay full costs of the suit including advocate's fees;

(e) Declare Clause 11 (indemnification) and Clause 13 (termination) of the Agreement as void, unenforceable, and contrary to public policy;

(f) Grant ad-interim and final injunction restraining the Defendant from alienating, encumbering, or disposing of its assets pending disposal of the suit;

(g) Pass such further order(s) as this Hon'ble Court may deem fit and proper.

AND FOR THIS ACT OF KINDNESS, THE PLAINTIFF SHALL AS IN DUTY BOUND EVER PRAY.

VERIFICATION

I, **Mr. Rahul Mehta**, Director of Mehta Tech Pvt. Ltd. and the duly authorised representative of the Plaintiff, do hereby solemnly affirm and verify that the contents of paragraphs 1 to 17 of the above Plaint are true and correct to the best of my knowledge and belief. No part of it is false and nothing material has been concealed therefrom.

Verified at **Gurugram** on this **22nd day of February, 2024**.

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Rahul Mehta
Director / Deponent
Mehta Tech Pvt. Ltd.

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Adv. Priya Iyer
Counsel for Plaintiff
Sharma & Iyer Associates
Enrolment No.: MH/2008/3312

Exhibits Filed: *P-1 (Agreement) | P-2 (UAT Report) | P-3 (Go-Live Certificate) | P-4 (Invoices) | P-5 (Change Request Work Orders) | P-6 (Legal Notice dated 12.02.2024) | P-7 (Email Correspondence) | P-8 (Board Resolution dated 10.01.2024)*